

Like many other gift receivers, James views himself as “self-made.” In fact, about two of every three adult children who receive significant cash gifts periodically from their parents view themselves as members of the “I did it on my own” club. We are amazed when these people tell us in interviews, “We earned every dollar we have.”

3. GIFT RECEIVERS ARE SIGNIFICANTLY MORE DEPENDENT ON CREDIT THAN ARE NONRECEIVERS.

Those who receive periodic gifts of cash or its equivalent are euphoric about their economic well-being. Euphoria of this type is related to their need to spend money. But much of this money is not in hand. It is tomorrow's economic outpatient care. So how do gift receivers respond to this dilemma? They use credit vehicles to smooth out their problems with cash flow. Why wait for the windfall at the end of the rainbow? Adult children who receive cash gifts are more likely than other adult children to live in anticipation of the sizable inheritance eventually coming their way.

In spite of having only about 91 percent of the total household annual income and 81 percent of the net worth of nonreceivers of gifts, gift receivers are significantly more likely to be credit-oriented. This credit is obtained for consumption, not investment, purposes. Conversely, nonreceivers of gifts borrow more for investment purposes than do gift receivers. Otherwise, in nearly every conceivable type of credit product/service category, gift receivers outpace nonreceivers. This applies both to the incidence of credit usage and to the actual dollars spent to pay the interest on outstanding balances. It applies to personal loans and to unpaid balances on credit card loans. Gift receivers and nonreceivers are not significantly different in their use of mortgage services or in the allocation of dollars for such purposes. However, a significant portion of the gift receivers were given money for sizable down payments on their homes.

4. RECEIVERS OF GIFTS INVEST MUCH LESS MONEY THAN DO NONRECEIVERS.